Darwinism in the Marketplace

I have a sort of ecological theory to explain the phenomenon of the higher return of small companies. In any environment, some creatures are going to be more successful at adapting than others, and those are the ones that will thrive and prosper. In a tough, competitive business environment, new companies struggle to survive by finding and exploiting their own special niche. Most fail, but the few that make it win big. The reason they make it is that the environment at the time is right for their growth. This can be called a circular argument—if the company grows, then the environment must be favorable—but it is a useful way to think about what causes success or failure.

As an important instance, we had an enormous change in the physical structure of the United States in the 1950s and 1960s, when our vast interstate highway system was built. (Highway construction has been sporadic since.) Entire new sections of the country were opened up for housing, as well as commercial and industrial development. Some people benefited immediately. The dairy farmer became an instant millionaire when his property was needed for a highway interchange. It was dumb luck, the most reliable way to make money.

The highways suburbanized the country; people abandoned city apartments for single-family housing. Everybody then needed at least one automobile, and probably more than one. Drive-in fast-food places sprang up on every corner where there wasn't already a gas station. And the shopping mall was born. Ten years after the malls came, Sears, Roebuck became the number one retail company in the country, and stayed that way for a long time, because it understood the trend and anchored countless malls. (Woolworth, on the other hand, didn't get it. It stayed with its small urban stores too long and never adapted.) Often, the big growth stocks reached their heights because they were boosted by some particular development at the time.